

SEC Registration Number

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Company Name

N	I	H	A	O		M	I	N	E	R	A	L		R	E	S	O	U	R	C	E	S		I	N	T	E	R	N
A	T	I	O	N	A	L	,		I	N	C	.		A	N	D		S	U	B	S	I	D	I	A	R	I	E	S

Principal Office (No./Street/Barangay/City/Town/Province)

1	5	0	5		P	r	i	n	c	e	t	o	n		S	t	.	,		c	o	r	.		S	h	a	w		
B	l	v	d	.	,		B	r	g	y	.		W	a	c	k	-	W	a	c	k	,		G	r	e	e	n	h	i
l	l	s		E	a	s	t	,		M	a	n	d	a	l	u	y	o	n	g		C	i	t	y					

Form Type

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Department requiring the report

C	R	M	
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Secondary License Type, If Applicable

N	/	A	
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COMPANY INFORMATION

Company's Email Address

www.nihaominig.com

Company's Telephone Number/s

(632) 823-3158

Mobile Number

N/A

No. of Stockholders

112

Annual Meeting

3rd Wednesday of MayFiscal Year
Month/Day

12/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Delfin S. Castro Jr.

Email Address

castrojun@yahoo.com

Telephone Number/s

(632) 823-3158

Mobile Number

09189084418

Contact Person's Address

1505 Princeton Street corner Shaw Blvd., Brgy Wack-wack, Greenhills East, Mandaluyong City

Note: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q**

**QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE
AND SRC RULE 17(2)(b) THEREUNDER**

1. For the quarterly period ended September 30, 2025
2. Commission identification number 62323 3. BIR Tax Identification No. 000-889-223-000
4. Exact name of issuer as specified in its charter NIHAO MINERAL RESOURCES
INTERNATIONAL, INC.
5. Province, country or other jurisdiction of incorporation or organization Philippines
6. Industry Classification Code: (SEC Use Only)
7. Address of issuer's principal office Postal Code
1505 Princeton St. corner Shaw Blvd., Brgy. Wack-Wack, Greenhills East,
Mandaluyong City
8. Issuer's telephone number, including area code (632)-8856-2013
9. Former name, former address and former fiscal year, if changed since last report
N/A
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
<u>Common stock , P1.00 par value</u>	<u>1,010,000,000 shares</u>
11. Are any or all of the securities listed on a Stock Exchange?
Yes ☒ No ☐
If yes, state the name of such Stock Exchange and the class/es of securities listed therein:
Philippine Stock Exchange Common stock- 600,000,000 shares
12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11 (a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)
Yes ☒ No ☐

(b) has been subject to such filing requirements for the past 90 days.
Yes ☐ No ☒

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements

The Company's consolidated financial statements have been prepared in accordance with Philippine Financial Reporting Standards ("PFRS").

This Financial Statements meeting the requirements of SRC Rule 68, is furnished as specified therein.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

FINANCIAL PERFORMANCE AND RESULTS OF OPERATION

September 30, 2025 vs. December 31, 2024

On May 30, 2024, Nihao's wholly owned subsidiary, Mina Tierra Gracia, Inc. (MTGI) entered into an operating agreement with Sorentomines, Inc. granting the latter the exclusive rights to explore, develop, extract and market the minerals covered by MPSA No. 315-2010-III, in exchange for paying MTGI a royalty fee on all nickel ores shipped out and ₱3.0 million per year upon the commencement of the mining operations. To date, the Botolan Mining Claim had not yet commenced any mining operations, however, Sorentomines made a deposit of ₱ 3 million to be applied against future royalties.

Operating expenses incurred during the first three (3) quarters of the year amounting to ₱ 1.39 million and partial settlement of payables resulted to a decrease in Cash of 0.56% or ₱ 0.43 million from ₱ 76.56 million to ₱ 76.13 million.

Additional input tax earned for the period explained the increase in other non-current assets of 132.41% or ₱ 0.11 million from ₱ 0.09 million to ₱ 0.20 million.

An increase in payables of 8.09% from ₱ 9.58 million as at December 31, 2024 to ₱ 10.35 million as at September 30, 2025 brought about by deposit for future royalties of ₱ 3 million plus payables net of partial settlements made during the period.

Given above, total consolidated assets stood at ₱ 277.96 million, a 0.11% or ₱ 0.31 million lower as compared with consolidated assets of ₱ 278.27 million as at December 31, 2024.

Deficit balance as at December 31, 2024 of ₱ 1,440,300,126 plus net losses incurred for the current period resulted to September 30, 2025 balances of ₱ 1,441,389,953.

September 30, 2025 vs. September 30, 2024

- a. Net operating losses for first three (3) quarters of 2025; net comprehensive losses:

For the period, the Company recognized consolidated net losses of ₱1.09 million, 10.52% or ₱ 0.13 million lower as compared to recorded net losses covering the same period last year of ₱ 1.21 million.

- b. Decrease in Assets:

Cash of ₱ 76.13 million was ₱ 0.14 million or 0.19% lower than balances of ₱ 76.27 million in 2024. The decrease is due to partial settlement of payables and operating expenses incurred during the period net of the ₱3 million deposit made by Sorentomines.

55.07% or ₱ 0.24 million decrease in other noncurrent assets due to net effect of wrote off of deferred input vat which was already with full allowance and additional provisions for impairment losses.

As a result, given the above-mentioned transactions, total consolidated assets as of September 30, 2025 were recorded at ₱277.96 million, while total assets as of the same period last year amounted to ₱278.36 million or a 0.14% lower equivalent to ₱0.40 million.

c. Increase in Total Liabilities:

40.25% or ₱ 2.97 million increase in trade and other payables from ₱ 7.38 million as of September 30, 2024 to ₱ 10.35 million in current year due to deposit made by MTGI's operator.

d. Decrease in Total Stockholders' Equity:

Total stockholders' equity amounted to ₱ 267.61 million as of September 30, 2025, a decrease of 1.24% or ₱ 3.37 million from ₱ 270.98 million in the same period last year. The decrease was mainly due to net expenses reported during the period and impairment of other non-current assets.

Financial Soundness Indicators:

	<u>Sept. 30, 2025</u>	<u>Sept. 30, 2024</u>
Net loss	₱ 1,086,601	₱ 1,214,295
Net comprehensive losses	1,086,601	1,214,295
Total Current Assets	76,130,139	76,283,067
Total Assets	277,963,198	278,360,795
Current Liabilities	10,353,625	7,382,048
Total Liabilities	10,353,625	7,382,048
Stockholders' Equity	267,609,573	270,978,747
(1) Current Ratio		
₱ 76,130,139 / 10,353,625	7.35:1	
₱ 76,283,067 / 7,382,048		10.33:1
(2) Debt to Equity Ratio		
₱ 10,353,625 / 267,609,573	0.04:1	
₱ 7,382,048 / 270,978,747		0.03:1
(3) Debt Ratio		
₱ 10,353,625 / 277,963,198	0.04:1	
₱ 7,382,048 / 278,360,795		0.03:1
(4) Asset to Equity Ratio		
₱ 277,963,198 / 267,609,573	1.04:1	
₱ 278,360,795 / 270,978,747		1.03:1
(5) Book value per share		
₱ 267,609,573 / 1,010,000,000	0.26	
₱ 270,978,747 / 1,010,000,000		0.27
(6) Income (loss) per share		
(₱ 1,089,828) (*) / 1,010,000,000	(₱ 0.001)	
(₱ 1,220,458) (*) / 1,010,000,000		(₱ 0.001)
* attributable to Equity holders of the Parent Company		
(7) Interest Coverage Ratio	NA	NA
No interest expense incurred		
(8) Return on Asset	NA	NA

(9) Gross Profit Margin	NA	NA
(10) Net Profit Margin	NA	NA

Discussion and analysis of material events and uncertainties known to management that would address the past and would have an impact on future operation of the following:

- a. Any known trends, demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in the registrant's liquidity increasing or decreasing in any material way.

MINING CLAIMS AND PERMITS

The operations of the Company's subsidiaries are primarily conducted under Mining Claims described below. The following table sets forth certain information related to the Company's Mining Claims and their corresponding permits or permit applications as of September 30, 2025.

<u>Location</u>	<u>Name of Claim</u>	<u>Permit Description</u>	<u>Permittee/ Applicant</u>	<u>Area Covered (in hectares)</u>
<i>Zambales &</i>				
<i>Masbate</i> Botolan and Iba	Botolan Mining Claim		Mina Tierra Gracia, inc.	5,081.6408
<i>Misamis Oriental</i> Opol, Manticao	Manticao Mining Claim	EPA-000093-X	Bountiful Geomines	1,944.0000
<i>Masbate</i> Milagros and Mandaon	Masbate 13 Mining Claim	EP-V2008-5	Masbate 13	4,136.7538
				<u>11,162.3946</u>

PRIVATE PLACEMENTS

Private Placements 2010 - 2011

On December 29, 2010, the Company entered into an agreement with one of its stockholders to subscribe a portion of the Company's authorized but unissued capital stock by way of a private placement transaction. The stockholder has agreed to subscribe to 80 million shares at a subscription price of ₱1.35 per share for a total consideration of ₱108 million. The share issuance resulted to an increase in additional paid-in capital (APIC) amounting to ₱28 million. The proceeds from the said private placement transaction were used to acquire 100% equity holdings in OREGALORE which owns 80% of Masbate 13. On the same date, the Company's Board of Directors approved the issuance of additional shares of stocks through a 2:5 Stock Rights Offering. This is to provide other stockholders with the same opportunity to subscribe to new shares of the Company.

On August 16, 2011, the Company entered into a second subscription agreement with the same stockholder covering 100 million shares at a subscription price of ₱2.00 per share or for a total consideration of ₱200 million. The proceeds from this private placement transaction were initially used to acquire listed shares of Oriental Peninsula Resources Group, Inc. (ORE) thru the Philippine Stock Exchange.

On September 21, 2011, the Company has entered into its third subscription agreement with the same stockholder covering 100 million shares at a subscription price of ₱2.25 per share for a total subscription price of ₱225 million. The proceeds were initially earmarked for acquisition of additional ORE shares and purchase of mining equipment.

None of these three tranches of shares are listed to-date and their respective listing applications with complete requirements are still pending listing process with the PSE.

Agreement by and among Macquarie Bank Limited ("Macquarie Bank"), Parent Company and one of its Major Shareholders

The BOD of the Parent Company approved the execution, delivery and performance of an Investment Agreement (the "Agreement") by and among Macquarie Bank, the Parent Company and one of its major shareholders, embodying a Multi-tranche Average Price Issuance Program ("Issuance Program") resulting in Macquarie Bank's subscription to newly-issued common shares of stock in the Parent Company (the "NiHAO Shares") on a private placement basis ("Transaction").

Pursuant to the Agreement, Macquarie Bank agreed to subscribe to the Parent Company's shares of up to an aggregate amount of 150,000,000, which shall be purchased in tranches, from the Parent Company's authorized but unissued capital stock, provided that, prior to the Parent Company's obtaining the approval of its shareholders to the Transaction, Macquarie Bank shall not make any subscription that will result in Macquarie Bank's total shareholdings in the Parent Company exceeding 95,000,000 shares, which number is just below ten percent (10%) of the resulting issued capital stock of the Company. The Parent Company will raise approximately United States Dollar (US\$) 25,000,000 to US\$30,000,000 from the issuance of the shares.

Macquarie Bank's right to subscribe to the Subscriber Shares shall expire (1) year from the execution of the Agreement, or upon Macquarie Bank having subscribed to and been issued 150,000,000 Subscriber Shares, whichever event occurs earlier.

In relation to the Agreement, on March 2, 2012, the Parent Company and Macquarie Bank executed a Subscription Agreement covering the Macquarie Bank's subscription of the 33,000,000 common shares with a par value of ₱1.00 per share for a subscription price of ₱9.46 per share for a total consideration of ₱312.2 million. The subscription resulted in an increase in the additional paid-in capital of ₱279.2 million.

No additional subscriptions were made under the Issuance Program after this first tranche since the listing process for the 33 million shares remain pending to-date with the Philippine Stock Exchange even after the one-year program already expired.

97 Million shares Private Placement

On 04 August 2015, the Company entered into a subscription agreement with Messrs. Jerry C. Angping and San-ho Cheng to subscribe to shares of stock in the Company in the aggregate amount of Ninety Seven Million (97,000,000) from the Company's authorized but unissued capital stock at Four Pesos (₱ 4.00) per share. The price was at a premium over the 15-day, 30-day, 45-day, 60-day, and 90-day volume weighted average price (VWAP) of the Company's shares as traded in the PSE.

The issuance of the Private Placement Shares was entered into for purposes of providing funding for the settlement of contractual obligations, and working capital for the Company's projects. Over time, ultimate benefit to shareholders is expected as shareholders' value will be enhanced.

The total transaction value of the issuance of the Private Placement Shares is Three Hundred Eighty Eight Million Pesos (P 388,000,000.00).

The listing application for all the shares covered by the above- described private placement transactions remain pending with the PSE to-date despite submission of all the documentary requirements for such purpose.

MANAGEMENT PLAN OF OPERATIONS

Plan of Operations

The Company shall use part of the balance of the net proceeds from the 2009 SRO to maintain its Botolan and Manticao Mining Claims, the former which has already been awarded an MPSA, and the Manticao Mining Claim, which will have to be perfected into an Exploration permit before any work can be done on the property. Management will be flexible on the use of the remaining balance of net proceeds as opportunities arise such as acquisitions of other prospective mining claims that it can develop for production in partnership with select foreign and local partners, most specially NAC.

Balance of the proceeds of private placements in 2011 were initially used to purchase additional publicly listed shares from the PSE open market and for acquisition of mining equipment. These were only interim transactions of the Company while waiting for better investment opportunities. To date, the investment in publicly listed shares were fully liquidated thru the PSE. This, plus proceeds from private placements made by Macquarie in March 2012 were used relative to the Operating Services of the Company to Dinapigue Mining Corporation (DMC).

On 04 August 2015, The Board approved to utilize the balance of the SRO proceeds in the amount of Thirty Three Million Seven Hundred Eighty Nine Thousand Three Hundred Thirteen (P33,789,313.00) as of 30 June 2015 to supplement payment of contractual liabilities and additional working capital for its projects. As of June 30, 2025, the balance of the proceeds is at P32,264,663.

Isabela Operations

On 04 August 2015, the operating agreement was pre-terminated. As consideration, DMC shall issue to NiHAO Ten Million (10,000,000) preferred shares at a par value of One Centavo (P 0.01) per share. With the following features:

- a) No voting rights, except with respect to matters where applicable law grants non-voting shareholders the right to vote, provided that the affirmative vote of NiHAO as a preferred shareholder shall be required for the approval of matters affecting NiHAO's economic rights;
- b) Non-redeemable;
- c) Preference in the declaration and payment of dividends;
- d) Non-participating;
- e) Non-transferrable and non-assignable, except with the prior written consent of the Company;
- f) The dividends shall be cumulative, to be computed annually based on the following formula:
Twenty percent (20%) of the Mine Operating Income, less Income Tax using the prevailing income tax prescribed by the BIR, where –
Mine Operating Income is equivalent to:
Revenue from sale of ore
Less the following deductions:
Cost of sales
Shipping and loading costs
Excise Tax
Royalty to IPs
Management fee which shall not exceed three percent (3%) of the revenue from sale of ore

The Group is looking forward to its share in the mine operating income of Isabela Nickel Project, forecasted to be made available through receipts of dividends not earlier than 2029, in accordance with the Termination Agreement entered into with DMC in 2015. On December 18, 2024, NiHAO, DMC and Nickel Asia Corporation (NAC) entered into an implementation agreement, which reinforces the issuance of ten million (10,000,000) preferred shares by DMC in favor of NiHAO consistent with the Termination Agreement entered in 2015.

DMC continues to operate and perform development activities in the mine, including pit expansion, support facilities improvement, and causeway/part construction. In 2024 and 2023, DMC exported saprolite and limonite ore totaling 0.5 million WMT and 0.3 WMT, respectively. On July 4, 2024, DMC completed the construction of the Dinapigue Causeway project, a major improvement in the Area.

DMC filed with the Philippines SEC the amendments of its articles of incorporation to create the preferred shares for the Parent Company's subscription and is awaiting SEC approval as of report date.

Botolan Mining Claim

Botolan Mining Claim is registered under the name of MTGI. The Botolan Mining Claim has an approved Mineral Production Sharing Agreement (MPSA) No. 315-2010-III that covers approximately 5,081 hectares located in the town of Botolan, Zambales. In May to June 2016, MTGI with Magellan Consolidated Mines and Development Corporation (MCMDC), holder of EP No. EP-011-2010-V, secured an expansion of the area under MPSA No. 315-2010-III by annexing the 2,799.9862 - hectare area covered by said EP pursuant to the pertinent provisions of Executive Order (EO) No. 79 and DAO No. 2012-07, as amended. Thus, on June 24, 2016, the Mines and Geosciences Bureau (MGB) issued an "Order" approving such annexation under the same terms and conditions provided for under the MPSA, and the existing applicable laws, rules and regulations. MPSA No. 315-2010-III is hereby redominated as MPSA No. 315-2010-III-Amended I. On June 28, 2018, MCMDC and MTGI agreed to rescind the deed of assignment and proceed with their own operations under their respective original EP and MPSA. The MPSA 315-2010-III shall have a term of twenty-five (25) years from the date of approval and is valid until February 10, 2035.

On May 30, 2024, MTGI entered into an operating agreement with Sorentomines, Inc. granting the latter the exclusive rights to explore, develop, extract, operate and market the minerals covered by MPSA No. 315-2010-III, in exchange for paying MTGI a royalty fee on all nickel ores shipped out and ₱ 3.0 million per year upon the commencement of the mining operations. To date, the Botolan Mining Claim had not yet commenced any mining operations. Sorentomines has made a deposit of ₱3M to be applied against future royalties.

Manticao Mining Claim

NiHAO's subsidiary, Bountiful Geomines, Inc. has an Exploration Permit Application ("EPAs") in Manticao. NiHAO will evaluate their respective mineral potentials through its technical team and/or third party geological services companies as soon as the approval of its Exploration Permit has been issued.

After awarding of the Exploration Permit ("EP"), NiHAO shall implement exploration works according to the approved Exploration Work Program and Environmental Work Program attached to the EP.

To date, no exploration activities are being conducted in the area.

In this interim period:

- a) There is no known trend, event or uncertainty that has or is reasonably likely to have a negative impact on the Company's short-term or long-term liquidity. The Company is not in default or breach of any note, loan, lease or other indebtedness or financing arrangement requiring the Company to make payments.
- b) The liquidity of the Company is expected to be generated from the Company's financial resources as well as from the proceeds of equity private placements and offerings.
- c) There are no events that will trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation.
- d) There are no material commitments for capital expenditures except for those provided in the "Use of Proceeds" from the private placements conducted by the Parent Company.
- e) There are no known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on the Company's financial statements.
- f) There are no significant elements of income or loss that did not arise from the Company's continuing operations.

FINANCIAL RISK EXPOSURE

Please refer to Note 11 of the notes to the consolidated financial statements.

PART II--OTHER INFORMATION

The issuer may, at its option, report under this item any information not previously reported in a report on SEC Form 17-C. If disclosure of such information is made under this Part II, it need not be repeated in a report on Form 17-C which would otherwise be required to be filed with respect to such information or in a subsequent report on Form 17-Q.

NOT APPLICABLE

SIGNATURES

Pursuant to the requirements of the Securities Regulations Code, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Signature/Date:



DELFIN S. CASTRO, JR
Chairman and President



LEONARDO B. CUA
Treasurer/Chief Financial Officer

Date signed: OCTOBER 28, 2025

Date signed: OCTOBER 28, 2025

NIHAO MINERAL RESOURCES INTERNATIONAL, INC. & SUBSIDIARIES
INDEX TO FINANCIAL STATEMENTS

FORM 17-Q, Item 1

Consolidated Financial Statements

Consolidated Statement of Financial Position as of September 30, 2025 and December 31, 2024

Consolidated Statement of Financial Position as of September 30, 2025 and September 30, 2024

Consolidated Statements of Comprehensive Income for the First Three Quarters Ending
September 30, 2025 and 2024

Consolidated Statements of Changes in Equity

Consolidated Statement of Cash Flows for the First Three Quarters Months ending September 30, 2025
and 2024

Notes to Consolidated Financial Statements

NIHAO MINERAL RESOURCES INTERNATIONAL , INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	Unaudited Consolidated September 30, 2025	Audited Consolidated Dec 31, 2024
ASSETS		
Current Assets		
Cash and cash equivalents (Note 3)	P 76,128,869	P 76,555,283
Accounts receivable	1,270	(0)
	76,130,139	76,555,283
Noncurrent Assets		
Mining Rights (Note 4)	201,633,419	201,633,419
Mine Development Costs (Notes 5)	-	-
Other non-current assets (Note 6)	199,640	85,900
Total Noncurrent Assets	201,833,059	201,719,319
	P 277,963,198	P 278,274,602
LIABILITIES & STOCKHOLDERS' EQUITY		
Current Liability		
Accounts payable and other current liabilities (Note 7)	P 7,353,625	9,578,429
Deposit for Future Royalties (Note 8)	3,000,000	
Total Liabilities	10,353,625	9,578,429
Stockholder's Equity		
Capital Stock - P1 par value (Note 10)		
Authorized - 2,000,000,000 shares		
Issued	1,010,000,000	1,010,000,000
Subscription Receivable		
Additional Paid-In Capital	673,377,974	673,377,974
Deficit	(1,441,389,953)	(1,440,300,126)
	241,988,021	243,077,848
Equity attributable to non-controlling interest	25,621,552	25,618,325
Total Stockholders' Equity	267,609,573	268,696,173
	P 277,963,198	P 278,274,602

NIHAO MINERAL RESOURCES INTERNATIONAL , INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	Unaudited Consolidated September 30, 2025	Unaudited Consolidated September 30, 2024
ASSETS		
Current Assets		
Cash and cash equivalents (Note 3)	P 76,128,869	P 76,273,067
Accounts receivable	1,270	10,000
Other current assets	-	-
	<u>76,130,139</u>	<u>76,283,067</u>
Noncurrent Assets		
Mining Rights (Note 4)	201,633,419	201,633,419
Mine Development Costs (Notes 5)		-
Other non-current assets (Note 6)	199,640	444,309
Total Noncurrent Assets	<u>201,833,059</u>	<u>202,077,728</u>
	<u>P 277,963,198</u>	<u>P 278,360,795</u>
LIABILITIES & STOCKHOLDERS' EQUITY		
Current Liability		
Accounts payable and other current liabilities (Note 7)	P 7,353,625	7,382,048
Deposit for Future Royalties (Note 8)	3,000,000	
Total Liabilities	<u>10,353,625</u>	<u>7,382,048</u>
Stockholder's Equity		
Capital Stock - P1 par value (Note 10)		
Authorized - 2,000,000,000 shares		
Issued	1,010,000,000	1,010,000,000
Subscription Receivable		
Additional Paid-In Capital	673,377,974	673,377,974
Deficit	(1,441,389,953)	(1,438,008,561)
	<u>241,988,021</u>	<u>245,369,413</u>
Equity attributable to non-controlling interest	25,621,552	25,609,334
Total Stockholders' Equity	<u>267,609,573</u>	<u>270,978,747</u>
	<u>P 277,963,198</u>	<u>P 278,360,795</u>

NIHAO MINERAL RESOURCES INTERNATIONAL, INC. & SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

		Unaudited September 30, 2025		Audited December 31, 2024		Unaudited September 30, 2024		Audited December 31, 2023
CAPITAL STOCK - P 1 par value								
Authorized no. of shares		2,000,000,000		2,000,000,000		2,000,000,000		2,000,000,000
Issued shares		1,010,000,000		1,010,000,000		1,010,000,000		1,010,000,000
Issued	P	1,010,000,000	P	1,010,000,000	P	1,010,000,000	P	1,010,000,000
Subscription Receivable								
Additional Paid - in Capital		673,377,974		673,377,974		673,377,974		673,377,974
		1,683,377,974	P	1,683,377,974	P	1,683,377,974	P	1,683,377,974
DEFICIT								
Balance at beginning of period		(1,440,300,126)		(1,436,788,104)		(1,436,788,104)		(1,070,057,540)
Net Income (loss)		(1,089,827)		(3,512,022)		(1,220,457)		(366,730,564)
Balance at end of period		(1,441,389,953)		(1,440,300,126)		(1,438,008,561)		(1,436,788,104)
NON-CONTROLLING INTEREST								
		25,621,552		25,618,325		25,609,334		25,603,170
STOCKHOLDERS' EQUITY, END								
	P	267,609,573	P	268,696,173	P	270,978,747	P	272,193,040

NIHAO MINERAL RESOURCES INTERNATIONAL, INC. & SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(Unaudited)

	July 1, 2025 Sept 30, 2025 (Three Months)	Jan. 1, 2025 Sept 30, 2025 (Nine Months)	July 1, 2024 June 30, 2024 (Three Months)	Jan. 1, 2024 Sept 30, 2024 (Nine Months)
REVENUES	P	P	P	P
COST OF SERVICE				
GROSS PROFIT (LOSS)	-	-	-	-
GENERAL AND ADMINISTRATIVE EXPENSES	(117,282)	(1,388,458)	(264,749)	(1,672,087)
NET INCOME (LOSS) BEFORE OTHER INCOME (LOSS)	(117,282)	(1,388,458)	(264,749)	(1,672,087)
OTHER INCOME (EXPENSES)				
Interest Income	175	377,320	285	572,233
Other Income				
Sub-total	175	377,320	285	572,233
INCOME (LOSS) BEFORE INCOME TAX	(117,107)	(1,011,138)	(264,464)	(1,099,854)
TAX DUE	(35)	(75,463)	(51)	(114,441)
INCOME (LOSS) AFTER TAX	(117,142)	(1,086,601)	(264,515)	(1,214,295)
OTHER COMPREHENSIVE INCOME				
Income (loss) on change in fair value of available- for-sale financial assets				
TOTAL COMPREHENSIVE INCOME (LOSS)	(117,142)	(1,086,601)	(264,515)	(1,214,295)
NET INCOME (LOSS) ATTRIBUTABLE TO				
Equity holders of the Parent Company	(116,822)	(1,089,828)	(264,401)	(1,220,458)
Non-controlling Interest	(320)	3,227	(114)	6,163
	(117,142)	(1,086,601)	(264,515)	(1,214,295)
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO				
Equity holders of the Parent Company	(116,822)	(1,089,828)	(264,401)	(1,220,458)
Non-controlling Interest	(320)	3,227	(114)	6,163
	(117,142)	(1,086,601)	(264,515)	(1,214,295)
WEIGHTED AVE. NUMBER OF COMMON SHARES	1,010,000,000	1,010,000,000	1,010,000,000	1,010,000,000
Based on net income (loss)	(0.000)	(0.001)	(0.000)	(0.001)
Based on total comprehensive income	(0.000)	(0.001)	(0.000)	(0.001)

Note: No dividends declared during the period

NIHAO MINERAL RESOURCES INTERNATIONAL, INC. & SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Unaudited)

	July 1, 2025 Sept 30, 2025 (Three Months)	Jan. 1, 2025 Sept 30, 2025 (Nine Months)	July 1, 2024 June 30, 2024 (Three Months)	Jan. 1, 2024 Sept 30, 2024 (Nine Months)
CASH FLOWS FROM OPERATING ACTIVITIES				
Income (loss) before income tax	P (117,107)	P (1,011,138)	P (264,464)	P (1,099,854)
Adjustment to reconcile net loss to net cash provided by operating activities				
Interest Income	(175)	(377,320)	(285)	(572,233)
Amortization				
Depreciation				
Operating income before changes in working capital	(117,282)	(1,388,457)	(264,749)	(1,672,087)
Changes in operating assets and liabilities				
Decrease (increase) in :				
Accounts Receivable		(1,270)	(10,000)	(10,000)
Other noncurrent assets	(3,661)	(113,740)	(21,601)	(375,449)
Increase (decrease) in :				
Accounts payable and accrued expenses		(2,224,804)	(2,082,154)	(5,917,841)
Other Liabilities		3,000,000		
Net cash used in operations	(120,943)	(728,271)	(2,378,503)	(7,975,376)
Income taxes paid	(35)	(75,463)	(51)	(114,441)
Interest received	175	377,320	285	572,233
Net cash provided by operating activities	(120,803)	(426,414)	(2,378,269)	(7,517,584)
CASH FLOWS FROM INVESTING ACTIVITIES				
Disposals (acquisitions) of property and equipment				
Disposal (Acquisition) of asset held for sale				
Net cash used in investing activities	-	-	-	-
CASH FLOWS FROM FINANCING ACTIVITIES				
Proceeds from issuance of capital stock				
Long-term borrowings				
Net cash provided by (used in) financing activities	-	-	-	-
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(120,803)	(426,414)	(2,378,269)	(7,517,584)
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	76,249,671	76,555,283	78,651,335	83,790,650
CASH AND CASH EQUIVALENTS AT END OF PERIOD	P 76,128,869	P 76,128,869	P 76,273,067	P 76,273,067

NIHAO MINERAL RESOURCES INTERNATIONAL, INC. AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information and Status of Operations

Corporate Information

NiHAO Mineral Resources International, Inc. (NiHAO or the Parent Company) and its subsidiaries (the Group) were incorporated in the Philippines. The Parent Company was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on July 16, 1975 as a mining company. On October 3, 1990, the Parent Company's shares were offered to the public and listed on the Philippine Stock Exchange (PSE).

As a mining company, its primary purpose is to carry on the business of mining, milling, concentrating, converting, smelting, preparing for market, manufacturing, buying, selling, exchanging, and otherwise producing and dealing in nickel, chromite, and other kinds of ores, metal, minerals and by-products.

The Parent Company's registered office address is 1505 Princeton St., cor. Shaw Blvd., Brgy. Wack-Wack, Greenhills East, Mandaluyong City.

The following are the subsidiaries of the Group as at September 30, 2025 and December 31, 2024:

Company	Ownership	Percentage
Mina Tierra Gracia, Inc. (MTGI)	Direct	100%
Bountiful Geomines Inc. (BGI)	Direct	100%
Oregalore, Inc. (OI)	Direct	100%
Masbate13 Philippines, Inc. (Masbate13)*	Indirect	80%

**The ownership in this subsidiary is held through OI.*

The subsidiaries were all incorporated in the Philippines and are involved in mining activities.

Status of Operations

As shown in the consolidated financial statements, the Group is currently in a non-operating status as at September 30, 2025 and December 31, 2024. In addition, the Group has incurred net loss of ₱1,086,601 and ₱3,496,867 for the 3 quarters ending September 30, 2025 and for the year ended December 31, 2024, respectively, resulting in deficit of ₱1,441,389,953 and ₱1,440,300,126 as at September 30, 2025 and December 31, 2024, respectively. These conditions indicate that a material uncertainty exists that may cast significant doubt on the Group's ability to continue as a going concern and, therefore, that the Group may not be able to realize its assets and discharge its liabilities in the normal course of business.

Management assesses that the going concern assumption remains to be appropriate since the Group has sufficient level of cash to allow the continued operations for at least the next 12 months. Further, management continues to pursue the development of its mining projects. The Group is looking forward to its share in the mine operating income of Isabela Nickel Project (the Project), forecasted to be made available through receipt of dividends not earlier than 2029, in accordance with the Termination Agreement entered into with Dinapigue Mining Corporation (DMC; formerly, Geogen Corporation) in 2015. On December 18, 2024, NiHAO, DMC and Nickel Asia Corporation (NAC) entered into an implementation agreement, which reinforces the issuance of ten million

(10,000,000) preferred shares by DMC in favor of NiHAO consistent with the Termination Agreement entered in 2015.

Further, in connection with the acquisition by NAC of 10% of the Parent Company's ownership interest in 2015, the Parent Company has granted NAC the exclusive preference to explore, develop and operate the Company's other mining properties in the future. As such, the consolidated financial statements have been prepared on a going concern basis of accounting.

Isabela Nickel Project (the "Project")

On June 13, 2012, the BOD of the Parent Company approved the execution, delivery and performance of an Operating Agreement with DMC wherein the Parent Company shall have the exclusive right to explore, operate, mine, develop and process minerals found within the DMC's mineral property consisting of a total area of 2,391 hectares located at Dinapigue, Isabela, which is covered by MPSA No. 258-2007-II dated July 30, 2007 (the "Mineral Property").

Pursuant to the Operating Agreement, DMC shall pay the Group an amount equivalent to 90% of the invoice value of the nickel ore sold by DMC to third parties in consideration of the services to be performed by the Parent Company. This agreement superseded the General Contractor Agreement (GCA) entered into by the Parent Company with DMC on March 5, 2012, which appointed the Parent Company as DMC's general contractor over the Mineral Property.

On August 4, 2015, the Parent Company and NAC entered into an agreement wherein NAC will acquire 10% secondary shares of the Parent Company at a purchase price of ₱4 per share, and 100% of the issued and outstanding capital stock of DMC.

As a result of NAC's acquisition of 100% of DMC, the Operating Agreement between the Parent Company and DMC was terminated. In accordance with the Termination Agreement between the Parent Company and DMC, the Parent Company shall cease rights and obligations in relation to the Project. Consequent to the Termination Agreement, DMC agrees to issue the Company 10,000,000 preferred shares which shall entitle the Company to cumulative dividends corresponding to 20% of mine operating income as defined in the Termination Agreement.

DMC continues to operate and perform development activities in the mine, including pit expansion, support facilities improvement, and causeway/part construction.

DMC had filed with the Philippine SEC the amendments of its articles of incorporation to create the preferred shares for the Parent Company's subscription and is awaiting SEC approval.

Mining claims

As at September 30, 2025, the Group has three (3) mining claims located in the provinces of Zambales, Misamis Oriental and Masbate.

1. Botolan Mining Claim

Botolan Mining Claim is registered under the name of MTGI. The Botolan Mining Claim has an approved Mineral Production Sharing Agreement (MPSA) No. 315-2010-III that covers approximately 5,081 hectares located in the town of Botolan, Zambales.

In May to June 2016, MTGI with Magellan Consolidated Mines and Development Corporation (MCMDC) holder of EP No. EP-011-2010-V secured an expansion of the area under MPSA No. 315-2010-III by annexing the 2,799.9862 - hectare area covered by said EP pursuant to the pertinent provisions of Executive Order (EO) No. 79 and DAO No. 2012-07, as amended. Thus, on June 24, 2016, the Mines and Geosciences Bureau (MGB) issued an "Order" approving such annexation under the same terms and conditions provided for under the MPSA, and the existing applicable laws, rules and regulations. MPSA No. 315-2010-III is hereby redominated as

MPSA No. 315-2010-III-Amended I. On June 28, 2018, MCMDC and MTGI agreed to rescind the deed of assignment and proceed with their own operations under their respective original EP and MPSA. The MPSA 315-2010 III shall have a term of twenty-five (25) years from the date of approval and is valid until February 10, 2035.

On May 30, 2024, MTGI entered into an operating agreement with Sorentomines, Inc. granting the latter the exclusive rights to explore, develop, extract and market the minerals covered by MPSA No. 315-2010-III, in exchange for paying MTGI a royalty fee on all nickel ores shipped out and P3.0 million per year upon the commencement of the mining operations. To date, the Botolan Mining Claim had not yet commenced any mining operations.

2. Manticao Mining Claim

BGI has an application for Exploration Permit (EXPA) with the MGB denominated as EXPA-000093-X, covering the Manticao Mining Claim with an area of 1,944 hectares located in Manticao, Misamis Oriental. In connection with the aforementioned EP application, BGI submitted in 2007 all mandatory requirements provided under the Philippine Mining Act of 1995 and its Implementing Rules and Regulations, including, an exploration work program as well as proof of technical and financial competence.

On February 4, 2022, the MGB issued a certification stating that EXPA-000093-X has been granted clearance to the MGB Regional Office No. X to issue the permit per Memorandum dated November 5, 2020 of MGB Central Office.

Based on the certification issued by MGB dated February 25, 2025, BGI has a valid and existing application for Exploration Permit which is still undergoing MGB's evaluation.

3. Masbate Mining Claim

Masbate13, one of the Parent Company's subsidiaries through OI, has an EP (EP-V-2008-05), with the MGB of the Department of Environment and Natural Resources (DENR) originally covering the Masbate Mining Claim with an area of 8,357 hectares located at the Municipalities of Milagros and Mandaon, Masbate. Said permit which expired on February 6, 2010, has been renewed for the second time in July 2014. Upon renewal, the coverage area of the permit was revised to 4,137 hectares. The latest EP which expired in July 2016 is currently under MGB evaluation for renewal.

Based on the certification issued by MGB dated February 25, 2025, Masbate 13 has a valid and existing Exploration Permit which is still undergoing MGB's evaluation.

2. Basis of Preparation and Consolidation

Basis of Preparation

The Group's financial statements have been prepared on a historical cost basis. The consolidated financial statements are presented in Philippine Peso (P), which is the Parent Company's functional and presentation currency. All amounts are rounded off to the nearest Philippine peso, except when otherwise indicated.

Statement of Compliance

The consolidated financial statements have been prepared in compliance with Philippine Financial Reporting Standard (PFRS).

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at September 30, 2025 and December 31, 2024.

3. Cash

	Sept. 30, 2025	Dec. 31, 2024
Cash on hand	₱0	₱0
Cash in banks	76,128,869	76,555,283
	₱76,128,869	₱76,555,283

Cash in banks earn interest at the prevailing bank deposit rates.

4. Mining Rights

Mining rights represent the Group's intangible assets for its right to mine certain areas. The details as at Sept. 30, 2025 and December 31, 2024 are presented below:

	Sept. 30, 2025	Dec. 31, 2024
Oregalore, Inc. (OI)	₱152,136,833	₱152,136,833
Mina Tierra Gracia, Inc. (MTGI)	49,496,586	49,496,586
Ending balances	₱201,633,419	₱201,633,419

There were no facts or circumstances which may indicate impairment under PFRS 6, Exploration for and Evaluation of Mineral Resources as at September 30, 2025 and December 31, 2024 as supported by the valid mining permits. For projects with expired mining permits, the application for renewal of license was also filed before its expiration and is currently being processed by MGB. The Group has no plans to abandon these mining claims, and the mining tenements will be developed through strategic partnership with other mining entities.

5. Mine Development Costs

	Sept. 30, 2025	Dec. 31, 2024
Cost:	₱605,867,697	₱605,867,697
Less: accumulated depletion	2,274,880	2,274,880
	603,592,817	603,592,817
Less impairment losses	603,592,817	603,592,817
	₱0	₱0

Management estimates the Project's recoverable amount based on the asset's FVLCD, which considered Group's share in future earnings of the Isabela Nickel Project through dividends on preferred shares as the relevant cash flows, which will not occur earlier than 2029.

The Group categorized the estimation of FVLCD under Level 3 as it considered unobservable inputs. Key assumption and inputs used by management include the estimated ore reserves, average production costs, forecasted average market price of nickel, discount rate based on industry weighted average capital cost, and forecasted foreign currency exchange rates of various financial institutions.

6. Other Noncurrent Assets

	Sept. 30, 2025	Dec. 31, 2024
Input VAT and Deferred Input vat	₱112,024,129	₱ 111,910,389
Advances to suppliers, operators & others	35,176,974	35,176,974
Creditable withholding taxes (CWTs)	5,469,585	5,469,585
	152,670,688	152,556,948
Less allowance for impairment losses	152,471,048	152,471,048
	₱199,640	₱ 85,900

Input VAT represents taxes paid on purchases of applicable goods and services, net of output VAT and deferred input VAT are from purchases of applicable services, which remain outstanding.

Advances to suppliers and operators pertain to advance payments for services to be rendered for the mining operation, development of the project, and exploration studies required under the MPSA. This account also includes advance payments made to surface right owners and other contractors.

CWTs are withheld from sale of services which the Group can utilize as payment for income taxes provided that they are properly supported by certificates of creditable withholding tax withheld at source subject to the rules in Philippine income taxation.

Movements in the allowance for impairment losses are as follows:

	Sept. 30, 2025	Dec. 31, 2024
Beginning balance	₱152,471,048	₱152,994,457
Provisions	-	512,791
Write-off	-	(1,036,200)
Ending balance	₱152,471,048	₱152,471,048

Provision for impairment loss amounted to nil and ₱512,791 in September 2025 and December 2024, respectively, which relates to deferred input tax and input VAT. In 2024, the Group wrote off deferred input VAT, which was already with full allowance, amounting to ₱1,036,200.

7. Trade and Other Payables

	Sept. 30, 2025	Dec. 31, 2024
Trade and accrued expenses	₱7,352,921	₱9,574,748
Withholding taxes	704	3,681
	₱7,353,625	₱9,578,429

Trade and accrued expenses include local purchases of goods and services used in the operations and expenses incurred and not yet billed by the suppliers.

Withholding taxes pertain to expanded withholding taxes which are payable to the government within 10 days after the end of each month.

Trade payables, accrued expenses and other liabilities are noninterest-bearing and have an average term of 30 days, but may extend longer depending on the agreement of the parties involved.

8. Deposit For Future Royalties

On May 30, 2024, MTGI entered into an operating agreement with Sorentomines, Inc. granting the latter the exclusive rights to explore, develop, extract, operate and market the minerals covered by MPSA 315-2010-III, in exchange for paying MTGI a royalty fee on all nickel ores shipped out and ₱3.0 million per year upon the commencement of the mining operations. To date, the Botolan Mining Claim had not yet commenced any mining operations.

As of September 30, 2025, Sorentomines has made a deposit of ₱3 million to be applied against future royalties.

9. Related Party Disclosures

Enterprises and individuals that directly, or indirectly through one or more intermediaries, control or are controlled by, or are under common control with the Group, including holding companies, subsidiaries and fellow subsidiaries, are related parties of the Group. Associates and individuals owning, directly or indirectly, an interest in the voting power of the Group that gives them significant influence over the enterprise, key management personnel, including directors and officers of the Group and close members of the family of these individuals, and companies associated with these individuals also constitute related parties. In considering each possible related entity relationship, attention is directed to the substance of the relationship and not merely the legal form.

The Group's related party transactions (RPTs) which are, individually or in aggregate over a 12-month period, 10% and above of the latest audited consolidated total assets are reviewed and evaluated by the Related Party Transaction Committee. Afterwards, these are approved by at least two-thirds (2/3) vote of the BOD, with at least a majority of the independent directors voting to approve the material related party transaction, subject to confirmation of the Stockholders during the Annual Stockholders' Meeting together with other material RPTs that crossed the materiality threshold. In case that a majority of the independent directors' vote is not secured, the material related party transaction may be ratified by the majority vote of the shareholders representing at least two-thirds (2/3) of the outstanding capital stock in a Special Stockholders' Meeting duly called for such a purpose.

All intercompany transactions are eliminated at the consolidated level. Items eliminated are separately disclosed in a schedule in accordance with Philippine SEC requirements under the Revised SRC Rule 68.

10. Capital Stock

Movements in the authorized and issued number of shares were as follows:

	Sept. 30, 2025	Dec. 31, 2024	Dec. 31, 2023
Authorized common shares - ₱1 par value	₱2,000,000,000	₱2,000,000,000	₱2,000,000,000
Issued			
Balance at beginning and end of period	₱1,010,000,000	₱1,010,000,000	₱1,010,000,000

On August 4, 2015, the Parent Company entered into a subscription agreement with Messrs. Jerry C. Angping and San-ho Cheng to subscribe 97,000,000 shares of stock at ₱4.00 per

share for an aggregate amount of ₱388,000,000 from the Parent Company's authorized but unissued capital stock. The price was at a premium over the 15-day, 30-day, 45-day, 60-day, and 90-day volume weighted average price (VWAP) of the Parent Company's shares as traded in the PSE.

The issuance of the private placement shares was entered into for purposes of providing funding for the settlement of contractual obligations, and working capital for the Group's projects.

The total transaction value of the issuance of the private placement shares is ₱388,000,000. The shares issued in line with the subscription agreement are pending for listing with the PSE.

Deficit

On June 13, 2012, the BOD approved the Parent Company's equity restructuring to eliminate the Parent Company's deficit amounting to ₱150.1 million as at December 31, 2011 by application against APIC. The equity restructuring was approved by the SEC on October 24, 2012, subject to the condition that the remaining APIC amounting to ₱103.2 million shall not be used to eliminate losses that may be incurred in the future without prior approval of the SEC. For purposes of dividend declaration, the retained earnings of the Parent Company shall be restricted to the extent of the deficit wiped out amounting to ₱150.1 million.

There were no dividend declarations made on September 30, 2025, December 31, 2024 and 2023.

NCI

As at September 30, 2025 and December 31, 2024, NCI consist of 20% ownership in Masbate13 amounting to ₱25,621,552 and ₱25,618,325, respectively.

11. Financial Instruments

Financial Risk Management Objectives and Policies

The Group's principal financial assets comprise cash, cash equivalents and receivables. The Group's principal financial liabilities comprise trade and other payables, which arise directly from its operations.

The BOD has the overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and manage the Group's exposure to financial risks, to set appropriate transaction limits and controls, and to monitor and assess risks and compliance to internal control policies.

The main risks arising from the Group's financial instruments are credit risk and liquidity risk. The BOD reviews the agreed policies for managing the risk and are summarized below:

Credit Risk

Credit risk refers to the potential loss arising from any failure by counterparties to fulfill their obligations, as and when they fall due. It is inherent to the business as potential losses may arise due to the failure of its customers and counterparties to fulfill their obligations on maturity periods or due to adverse market conditions.

Concentration risk arise when a number of counterparties are engaged in similar business activities, or activities in the same geographic region, or have similar economic feature that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions, such as fluctuations in currencies or interest rates.

There are no significant concentrations of credit risk with single counterparty or group of counterparties having similar characteristics.

The Group's exposure to credit risk arises from default of the counterparty, with a maximum exposure equivalent to the carrying amount of cash in banks and short-term investments.

The table below shows the gross maximum exposure of the Group's significant financial assets, without considering the effect of collateral, credit enhancements and other credit risk mitigation techniques:

	Sept. 30, 2025	Dec. 31, 2024
<i>At amortized cost:</i>		
Cash in banks	₱1,321,417	₱1,247,831
Short-term investments	74,807,452	75,307,452
Total	₱76,128,869	₱76,555,283

The Group's cash in banks and short-term investments are assessed as high grade since these are deposited in reputable banks, which have a low probability of insolvency.

Liquidity Risk

Liquidity risk is defined as the risk that the Group may not be able to settle or meet its obligations as they fall due. Management is responsible for liquidity, funding as well as settlement management.

The Group's exposure to liquidity risk relate to raising funds. The Group manages its liquidity profile to be able to finance capital expenditures and service maturing debts. To cover its financing requirements, the Group intends to use internally generated funds.

As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. It also continuously assesses conditions in the financial markets for opportunities to pursue fund raising activities, in case any requirements arise.

The table below summarizes the maturity profile of the Group's financial liabilities as at September 30, 2025 and December 31, 2024, based on contractual undiscounted cash flows. The analysis into relevant maturity groupings is based on the remaining term at the end of the reporting period to the contractual maturity dates.

September 30, 2025	On demand	Less than 3 months	3 to 6 months	6 to 12 months	1 to 3 years	Total
<i>Financial liabilities</i>						
Trade	₱5,506,252	₱—	₱—	₱—	₱—	₱5,506,252
Accrued expenses	—	—	1,846,669	—	—	1,846,669
	₱5,506,252	₱—	₱1,846,669	₱—	₱—	₱ 7,352,921
December 31, 2024	On demand	Less than 3 months	3 to 6 months	6 to 12 months	1 to 3 years	Total
<i>Financial liabilities</i>						
Trade	₱6,492,944	₱—	₱—	₱—	₱—	₱6,492,944
Accrued expenses	—	3,081,804	—	—	—	3,081,804
	₱6,492,944	₱3,081,804	₱—	₱—	₱—	₱9,574,748

The Group uses its cash and cash equivalents amounting to ₱76,128,869 and ₱76,555,283 as of September 30, 2025 and December 31, 2024, respectively, to manage liquidity risk.

12. Fair value measurement

Cash, Cash Equivalents and Trade and Other Payables

The Group has determined that the carrying amounts of cash and cash equivalents and trade and other payables reasonably approximate their fair values due to the short-term nature of these financial instruments.

The Group has no asset and liabilities carried at fair value or for which fair value are disclosed as at September 30, 2025 and December 31, 2024.